

Financial AI Governance Policy

Document ID: FIN-AI-001 | Effective: June 27, 2026 | Version: 1.0 | Classification: Internal

APPROVED — ACTIVE

1. Purpose & Scope

This policy defines how the TechCorp Finance Department uses the Enterprise AI Platform to support financial analysis, reporting, planning, and monitoring while preserving an absolute boundary: all financial decisions, transaction approvals, and commitment authority remain exclusively with qualified human finance professionals. AI is an analytical advisor, never a financial decision-maker.

This policy applies to all Finance Department personnel, including financial analysts, accountants, controllers, treasurers, and FP&A staff. It also applies to any personnel in **Sales**, **Operations**, or **Procurement** who use AI-generated financial outputs in decision-making workflows that touch the Finance Department's systems.

2. AI Platform Integration

The Finance Department accesses the Enterprise AI Platform through a financially-scoped tenant with strict transaction-execution gates enforced by the **IT Department** and audited continuously by the **Security Department**. Core integrations include:

- **Financial Analysis Co-pilot** — AI-assisted variance analysis, trend identification, and narrative report drafting across all financial statements, with every output attributed and logged for audit review by the **Legal Department**.
- **Transaction Monitoring Gateway** — AI analyzes financial transactions for anomalies and pattern deviations but is physically prevented from executing, modifying, or approving any transaction. The execution firewall is co-maintained with **IT** and tested quarterly.
- **Compliance Cross-Check Engine** — RAG-powered validation of financial processes against SOX requirements, GAAP/IFRS standards, and internal controls, flagging gaps for controller review and coordinating remediation with **Legal**.
- **Revenue Reconciliation Module** — AI matches revenue entries from **Sales's** CRM against Finance's ledger, flagging discrepancies for analyst investigation and ensuring alignment between booked deals and recognized revenue.

Connected Departments: Sales (revenue data & deal terms reconciliation) • Legal (SOX compliance & financial regulation) • IT (transaction execution firewall & platform access) • Security (financial data protection & access audit) • AI (model safety & financial prompt governance) • Operations (procurement & expense data integration)

3. Permitted AI-Assisted Financial Activities

Activity	AI Role	Human Oversight Required
Variance analysis & trend detection	Calculation & pattern identification	Financial analyst validates findings and writes narrative interpretation
Financial report drafting	Data aggregation & first-draft generation	Controller reviews and approves every report before distribution
Account reconciliation matching	Automated matching & discrepancy flagging	Accountant investigates and resolves every AI-flagged discrepancy
SOX control testing	Control execution sampling & anomaly detection	Internal audit confirms control effectiveness; signs off on all test results
Cash flow forecasting	Predictive modeling & scenario generation	Treasury analyst validates assumptions and approves final forecast
Intercompany reconciliation	Automated matching across entities	Senior accountant reviews and approves all intercompany adjustments

4. Prohibited Activities

The following are strictly prohibited under this policy:

- **AI execution of any financial transaction.** AI must never initiate, approve, execute, or modify any payment, transfer, journal entry, or financial commitment. The transaction execution firewall is absolute and cannot be overridden by any department without a board-authorized exception.
- **AI override of financial approval chains.** Approval hierarchies defined in the delegation of authority matrix are immutable. AI may not bypass, escalate, or substitute for any human approval step in a financial workflow.
- **AI-generated financial statements filed externally without human review.** Every figure, disclosure, and assertion in regulatory filings, investor communications, and audit submissions must be verified by a qualified finance professional before submission.
- **Uploading material non-public financial information to consumer-grade AI tools.** Financial data classified as Confidential or Restricted must only be processed

through the approved Enterprise AI Platform tenant.

- **AI-driven trading or investment decisions.** Treasury and investment activities must be directed by human professionals. AI may provide analysis but may not determine or execute investment allocations.

5. Financial Data Handling & Confidentiality

All Finance Department AI activities must comply with TechCorp's **AI Safety Guidelines** (AI Department), the **Data Protection Standards** (Security Department), and applicable financial regulations. Specific requirements:

- Material non-public financial information must be tagged as Restricted and processed only within the Finance Department's dedicated AI tenant with enhanced access controls and logging.
- All AI interactions involving financial data are logged immutably and retained for a minimum of 7 years to satisfy SOX and audit requirements, coordinated with IT for storage and Security for access controls.
- Financial data used for AI analysis must be sourced from the approved financial data warehouse; spreadsheet-based or local-file data must be ingested through the approved pipeline with provenance tagging.
- Cross-department financial data sharing through the AI Platform must respect the data classification boundaries; Sales revenue data visible to Finance AI must not expose individual customer terms to unauthorized users.
- Quarterly access reviews for the Finance AI tenant are conducted jointly by Finance leadership, IT, and Security to verify that only authorized personnel have access.

6. Prompt Engineering & Quality Standards

Finance professionals using the AI Platform must adhere to TechCorp's **Prompt Engineering Standards**. Finance-specific requirements include:

- Financial analysis prompts must specify the reporting period, accounting standard (GAAP/IFRS), entity scope, and comparison baseline to produce meaningful outputs.
- Forecasting prompts must include historical data ranges, known future events, and explicit assumption parameters; the AI must disclose the confidence interval for every projection.
- Variance explanation prompts must include both the expected and actual figures with full context — prompting with only the variance number produces unreliable analysis.
- All Finance prompt templates must be version-controlled, approved by the Financial Controller, and stored in the department's shared prompt library.

- Accuracy below 97% on quarterly financial data extraction benchmarks triggers a model review by the AI Department within 10 business days.

7. Roles & Responsibilities

Role	Responsibility
Chief Financial Officer (CFO)	Overall policy ownership; final authority on AI use in financial processes; approves any exceptions to transaction execution firewall; board reporting on AI governance.
Financial Controller	Day-to-day AI governance enforcement; financial report review and approval; prompt template governance; AI accuracy monitoring for accounting and reporting workflows.
FP&A Lead	AI-assisted forecasting and budgeting oversight; forecast assumption validation; variance analysis narrative review; planning model calibration with Operations.
Treasury Manager	Cash flow and investment analysis oversight; ensuring AI has no transaction execution capability; treasury data confidentiality enforcement.
Internal Audit	SOX control testing with AI assistance; independent validation of AI-generated audit outputs; quarterly AI governance compliance audits; reporting to Audit Committee.
IT Department	Transaction execution firewall maintenance and testing; Finance AI tenant infrastructure; financial data warehouse integration; access provisioning.
Security Department	Financial data protection; quarterly access audits; financial anomaly alert triage coordination; financial data breach incident response.
Legal Department	SOX and regulatory compliance interpretation; financial disclosure review; AI-related financial incident notification determination; contract financial term validation support.
AI Department	Financial model safety and accuracy monitoring; prompt standard governance for finance use cases; AI output reliability benchmarking.

8. Incident Response

Any of the following constitutes a financial AI incident and must be reported within the timeframe specified to the CFO, Controller, and Security Department:

- AI-generated financial analysis containing material error that reaches an external stakeholder — report within 1 hour to the CFO and Controller; affected analysis corrected; external notification assessed by Legal.
- Attempted or suspected AI transaction execution — Security receives real-time firewall alert; IT investigates immediately; CFO notified within 15 minutes; full forensic review within 24 hours.

- Unauthorized access to the Finance AI tenant or financial data — report within 30 minutes to Security, IT, and the CFO; access revoked; access audit trail reviewed and preserved.
- AI-generated regulatory filing content containing inaccurate data submitted to a regulator — report within 2 hours to the CFO, Controller, and General Counsel; corrective filing assessed by Legal.
- Breach of financial data confidentiality through AI tool usage — report within 1 hour to Security, CFO, and General Counsel; containment initiated; notification obligations determined by Legal.

All financial AI incidents are logged in the platform's compliance incident module. A post-incident review involving Finance, IT, Security, and AI Department is mandatory within 5 business days. Incidents with regulatory implications are escalated to the Audit Committee within 48 hours.

9. Training & Compliance

- All Finance Department personnel must complete the Financial AI Governance & Ethics training within 30 days of hire and annually thereafter.
- Personnel using AI for financial analysis must complete the AI-Assisted Financial Analysis workshop covering prompt standards, output verification, and prohibited use boundaries before receiving platform access.
- Controllers and FP&A leads must complete the AI Risk & Control Certification covering transaction firewall architecture, audit trail requirements, and incident reporting procedures.
- Quarterly AI governance audits are conducted by Internal Audit with coordination from IT and Security; audit findings are reported to the CFO and the Audit Committee.
- Non-compliance with this policy, particularly any attempt to bypass the transaction execution firewall, is subject to immediate access revocation and the disciplinary process administered by HR.

10. Review & Revision

This policy is reviewed every 6 months by the CFO, Financial Controller, FP&A Lead, and Internal Audit lead, with input from the AI Department (for model safety and accuracy), IT Department (for firewall and platform infrastructure), Security Department (for data protection and access controls), and Legal Department (for regulatory compliance and SOX alignment). Revisions are versioned, approved by the CFO, and synchronized with updates to the Financial Controls & Audit Trail Policy, the TechCorp AI Safety Guidelines, and the SOX compliance framework.

Emergency revisions triggered by financial control incidents or regulatory changes follow an accelerated 14-day review cycle.

Referenced Policies: Financial Controls & Audit Trail Policy (FIN-CTL-001) • TechCorp AI Safety Guidelines (AI Department) • Prompt Engineering Standards (AI Department) • Data Protection Standards (Security Department) • IT Access Management Policy (IT Department) • Corporate Compliance & Data Governance Policy (LEG-CORP-002) • SOX Compliance Framework (Finance & Legal)